

IFRS 9 Week 4 Notes

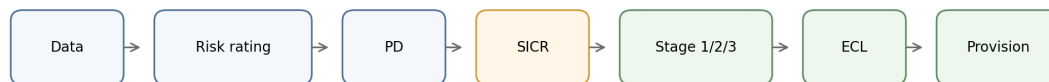
Week 4 focus: staging, significant increase in credit risk (SICR), acquisition vs behavior PD, month on books, point-in-time PD, through-the-cycle PD, and the ECL formula.

IFRS 9 is the accounting framework for provisioning. It answers a simple question: how much expected credit loss should the bank recognise now? Basel serves a different purpose. It is about capital adequacy and holding capital for unexpected losses.

The week's discussion stays close to the borrower journey: delinquency, sustained delinquency, default, staging, and then expected credit loss.

Framework	Main job	Simple meaning
Basel	Capital adequacy	How much capital should be held for unexpected loss?
IFRS 9	Provisioning	How much expected credit loss should be booked now?
CECL	US expected-loss provisioning	The US counterpart in the expected-loss world.

Analogy: Basel is the safety wall, IFRS 9 is the rainy-day fund, and CECL is the US version of the same loss-recognition logic.



End-to-end logic: risk information moves into staging and then into ECL provisioning

Figure 1. End-to-end IFRS 9 logic from risk information to provision.

Delinquency starts when a borrower misses a payment date. Default is a more serious failure point. Impairment is the accounting conclusion that the exposure has become credit impaired and needs stronger provisioning.

Term	Plain meaning	Credit-risk implication
Delinquency	A payment is missed	The borrower may still cure
Default	Serious credit failure	Recovery becomes uncertain
Impairment	Expected loss is now material	Provisioning becomes more conservative
Charge-off	Policy-driven removal from active book	Collections or recovery may continue

The simple difference matters: delinquency is being late, default is a deeper failure, and impairment is the accounting view of that failure.

Staging is the engine of IFRS 9. Stage 1 covers normal performing accounts. Stage 2 covers accounts with a significant increase in credit risk. Stage 3 covers impaired or default-like accounts.

Stage	Meaning	ECL horizon
Stage 1	No significant increase in credit risk	12-month ECL
Stage 2	SICR triggered	Lifetime ECL
Stage 3	Impaired / default-like	Lifetime ECL with impairment focus

Stage 1 = healthy borrower. Stage 2 = warning signs. Stage 3 = default-like situation.

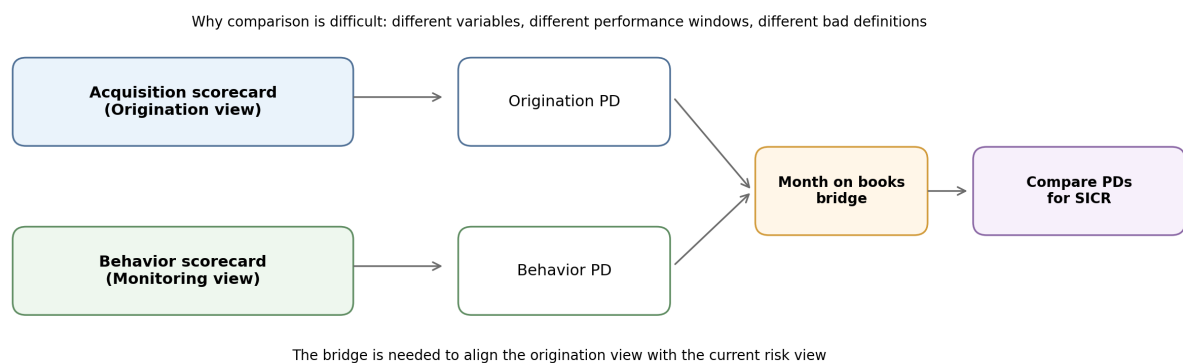


Figure 2. Why acquisition PD and behavior PD need a bridge before they can be compared.

The idea is to compare the borrower's credit position at origination with the current position. If the current position is materially worse, Stage 1 may move to Stage 2.

SICR lens	What it asks	Why it matters
Relative threshold	Has PD moved by a meaningful percentage?	Useful when starting PDs vary a lot
Hard backstop	Has the borrower crossed a warning rule?	Prevents obvious stress from being missed
Rating migration	Has the internal view deteriorated?	Important in corporate and institutional banking
Committee judgment	Has expert review flagged the account?	Supports model-based staging

In retail-style portfolios, a common backstop is 30 days past due. In many retail portfolios, 90 days past due is the common bad-definition rule; some commercial portfolios can justify a different rule with supporting analysis.

Acquisition scorecards are used at origination. They estimate how likely the new borrower is to be a good borrower. Behavior scorecards are used after booking. They monitor how the same borrower is behaving over time.

The core point is simple: the two scorecards often use different variables, different performance windows, and sometimes different bad definitions. That is why direct comparison is not always clean.

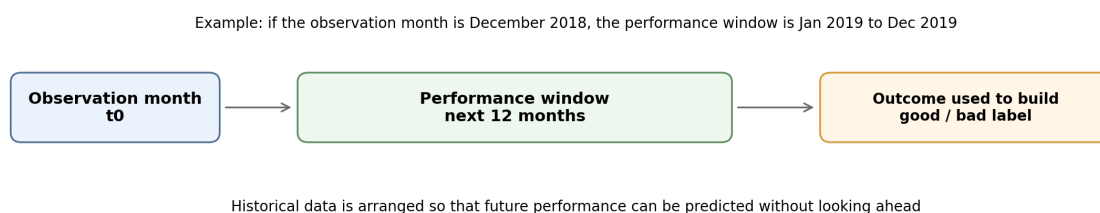


Figure 3. A performance window is built backward from an observation month so that future outcomes can be learned from history.

The comparison is difficult for two reasons. First, the variables are different: origination focuses on reliability and affordability, while behavior focuses on payment conduct and current deterioration. Second, the performance windows can differ, so the labels behind the scorecards may not line up exactly.

Scorecard	Typical focus	Example signals
Acquisition	Reliability and affordability	OD account status, savings balance, FOIR, enquiries
Behavior	How the borrower is paying now	Delinquency pattern, conduct, payment behavior
Bridge	Month on books comparison	Aligns the two views before SICR testing

The logic is not to memorize the numbers mechanically, but to understand what each factor is trying to capture.

Variable	Category in the example	Score	Why it matters
Overdraft account status	No overdraft account	28	More reliable conduct
Savings account balance	0 to 10,000	21	Affordability signal
Other credit	No other credit	45	Lower existing burden
Enquiries	2 enquiries	28	Limited credit shopping

Illustrative total score = 28 + 21 + 45 + 28 = 122. The example cut-off used in the session is 107, so this borrower would be accepted.

The scoring logic is a ranking of better and worse borrower profiles. A safer borrower gets a higher score; a riskier borrower gets a lower score.

Analogy

A scorecard is like a bank's admission test. A stronger profile gets a better score, but the test still needs to be designed around the product and the risk it is trying to measure.

Month on books is the number of months since the account was booked. The key idea is that very early months can still look similar to origination. After some time, the borrower's actual payment behavior starts to matter more.

Month on books	What it means	Why it is useful
Low MOB	Acquisition and behavior can still look similar	Helps reuse behavior PD as a proxy
Later MOB	Borrower conduct starts to diverge	Behavior PD becomes more informative
Segment level	Cut-off is found for a portfolio segment	Avoids forcing one rule for all accounts

The example uses a small early-month cut-off to align the two PDs. The exact cut-off is not fixed for every account; it is usually studied at a segment level.

IFRS 9 needs a point-in-time PD because provisions must react to current and forecast economic conditions. Basel uses through-the-cycle PD because capital should be more stable and conservative across the business cycle.

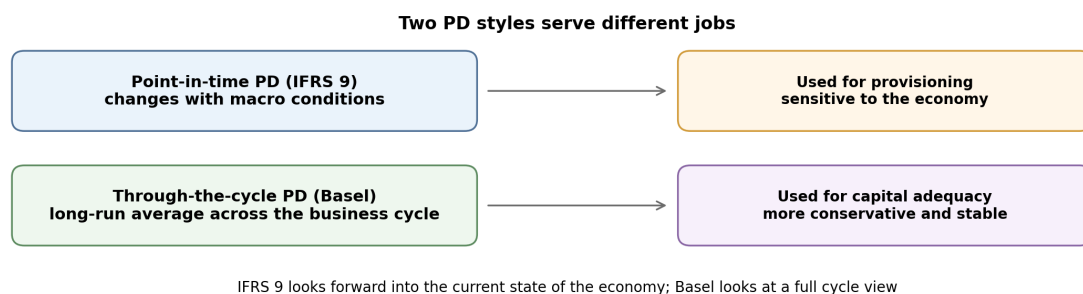


Figure 4. PIT PD moves with the economy; TTC PD smooths across the cycle.

PD type	Used for	Plain reason
Point-in-time PD	IFRS 9 provisioning	Needs to reflect current macro conditions
Through-the-cycle PD	Basel capital	Should stay conservative across the full cycle

In simple words, provisioning is allowed to move with the weather; capital planning should not swing wildly every time the weather changes.

Expected credit loss is presented as $PD \times LGD \times EAD$. PD is the chance of default, LGD is the loss severity after recoveries, and EAD is the exposure outstanding at the time of default. For revolving products, the exposure can be more dynamic because credit conversion factors may matter.

Component	Meaning	Simple question
PD	Probability of default	Will the borrower default?
LGD	Loss given default	How much is lost after recovery?

EAD	Exposure at default	How much is outstanding when default happens?
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A straightforward worked example was not fully developed in the session, so the formula is the main point to keep from this week.

- IFRS 9 is about expected loss provisioning, not capital adequacy.
- Stage 1 uses 12-month ECL; Stage 2 and Stage 3 use lifetime ECL.
- SICR is the bridge from Stage 1 to Stage 2.
- Acquisition PD and behavior PD often need a month-on-books bridge before they can be compared.
- IFRS 9 uses point-in-time PD because provisioning must react to macro conditions.
- Basel uses through-the-cycle PD because capital should remain conservative across the full cycle.